Hims & Hers (HIMS) Investment Memo

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The call: Buy, $27 price target, 43% upside

I rate Hims & Hers (NYSE: HIMS) a Buy at $19.15 (Nov 10, 2026 close) with a $27 price target. That is 43% upside to my base case, which assumes revenue of $5.7B and a 17.5% adjusted EBITDA margin in 2030, both below management's own targets.

The stock fell about 26% in two days after Q3 results, and the market now prices something close to my bear case. Because momentum is clearly negative, I would build the position in stages rather than all at once.

Why my value differs from the market's. At $19.15, the market is roughly pricing even odds that growth stalls: a 50/50 blend of my bear ($9) and base ($27) cases is about $18. I think it is overweighting the bear case. It is reading the Q3 subscriber drop as the start of a decline, while the company says it was a deliberate marketing pullback ahead of the Lilly and Novo launches, and revenue per subscriber is still rising 30% a year.

	Bear	Base	Bull
Value per share	$9	$27	$40
vs. $19.15	-51%	+43%	+107%
2030 revenue	$4.2B	$5.7B	$6.8B
2030 adj. EBITDA margin	12%	17.5%	20.5%

The company

Hims & Hers is an online healthcare company. Patients see a licensed provider online and get treatment by subscription: hair loss, sexual health, weight loss, dermatology, menopause and, since this quarter, testosterone, its first controlled-substance product.

It started in 2017 looking like a men's grooming brand, selling shampoo, supplements and skincare next to a few prescriptions. Today most of its revenue comes from prescriptions. In Q3 2026 it had 2.79M subscribers paying an average of $105 a month, and revenue grew 49% to $890M.

The debate

Bulls expect subscribers to keep growing as Hims adds categories, and marketing to shrink as a share of revenue because loyal subscribers don't need to be re-acquired. That is how management gets to its 2030 targets of at least $6.5B in revenue and a 20% adjusted EBITDA margin.

Bears expect growth to flatten. Subscribers fell by 100K in Q3, gross margin dropped from 74% (2025) to 57% as low-margin branded weight-loss drugs took over the mix, and they worry patients will go to cheaper sources for the same medications.

My view

I side with the bulls on growth. Revenue grew 49% last quarter while Teladoc, Doximity and LifeMD shrank or barely grew. Management says the Q3 subscriber drop was deliberate: it pulled back weight-loss marketing while moving to branded drugs from Lilly and Novo, and expects growth to resume in Q1 2027.

What worries me is cash. Hims pays a meaningful part of its staff in stock, about 5.8% of revenue in 2025, and its favorite profit measure, adjusted EBITDA, leaves that out. In my 2027 forecast, $360M of adjusted EBITDA turns into only $18M of free cash flow once stock comp, taxes and capex are paid. That conversion has to improve, and in my base case it does, reaching about half of EBITDA by 2031.

The biggest upside to my base case is margin. If higher-margin categories like testosterone (targeting a $100M annual run rate), dermatology and menopause grow faster than weight loss, or if Hims finds a weight-loss option it can sell at better margins than branded drugs, gross margin recovers faster than I assume. Regulators have cracked down on mass-marketed compounded GLP-1s, so I don't count on that.

Why HIMS over the alternatives. Among listed telehealth names, Teladoc and LifeMD are shrinking and Doximity is growing 4%. HIMS is the only one combining real scale (2.8M subscribers) with fast growth, and it owns the customer relationship across many conditions rather than one. If margins recover even partway, it is the name in the group with the most room to re-rate.

Valuation

My $27 target comes from a five-year DCF on unlevered free cash flow at an 11.8% WACC (CAPM cost of equity of 14.2% using an adjusted beta of 2.0). I treat stock comp as a real cost and the convertible notes as debt.

The two terminal methods disagree sharply, so I blend them 50/50:

- **Perpetuity growth (3%): $18 per share.** It implies only 5.7x 2031 EBITDA, which is harsh for a company still growing 10% a year.
- **Exit multiple (12x EBITDA): $37 per share.** It implies cash flow growing 7.5% a year forever, which is generous.

The gap is the thesis in miniature: the value depends on how much EBITDA turns into real cash.

Comps cut against me, and I don't think they're the right yardstick. At the peer median, HIMS would be worth only $7-10. But Teladoc (6.1x EBITDA) and LifeMD are shrinking businesses. The one quality peer, Doximity, trades at 16.8x EBITDA while growing 4%. HIMS trades at 19.2x while growing 49%, a small premium for roughly ten times the growth.

Company	Price (Nov 10)	EV / Revenue	EV / EBITDA	Latest qtr growth
Hims & Hers	$19.15	1.6x	19.2x	+49%
Doximity	$32.42	7.9x	16.8x	+4%
Teladoc	$8.94	0.7x	6.1x	-3%
LifeMD	$1.74	0.3x	n/m	-4%

Weighting bear, base and bull at 25/50/25 gives about $26, so the skew is in my favor: the upside in base and bull is larger than the downside in the bear case.

Catalysts

- **Q4 2026 earnings (around February 2027):** subscriber growth resuming in Q1 as management promised, and the first 2027 guidance.
- **Marketing falling as a share of revenue:** it was 39% in 2025 and 28% in Q3. Continued declines are the main path to higher margins.

- **New products ramping:** testosterone toward its $100M run-rate target, peptides, and the Lilly (Zepbound, Mounjaro) and Novo (Wegovy) offerings.
- **International:** management expects at least $650M in 2026 and a possible $1B run rate in 2027.

Risks and timing

What would prove me wrong:

- **Subscribers keep falling** past Q1 2027. This is the single most important signal.
- **Marketing as a share of revenue rises** instead of falling.
- **Gross margin keeps sliding** below about 57% as weight loss grows.
- **Regulation:** new limits on compounded drugs or peptides, or problems with the testosterone launch.
- **Dilution:** stock comp stays high, or the convertible notes eventually convert into shares.

Timing. As a trader, I can't ignore the chart: the stock is in a downtrend on every timeframe after a 26% two-day drop. The fundamentals say Buy, but I would build the position in pieces and add only after a bounce and a break of structure to the upside, or on evidence at Q4 earnings that subscribers are growing again.

Sources

- Hims & Hers Q3 2026 earnings release (SEC 8-K, Nov 9, 2026)
- Hims & Hers Q4 and FY2025 results, with 2030 targets (SEC 8-K)
- Q3 2026 earnings call transcript (Investing.com)
- Teladoc Q3 2026 release (SEC 8-K)
- Doximity fiscal Q2 2027 release (SEC 8-K)
- LifeMD Q2 2026 release (SEC 8-K)

Valuation model: HIMS_Valuation_Model.xlsx (peer prices as of Nov 10, 2026).